Education to Work Transition: What Really Helps Young People Get Their First Job?

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1 Problem Description and Research Question

Target audience: Government and policy makers working on youth employment

Why do some young people find a job quickly after completing their education, while others take months or even years to enter the labour market?

A faster transition into employment is not only beneficial for individuals, but also for society as a whole. Early labour market integration means:

- quicker economic contribution
- higher productivity and value creation
- reduced risk of long-term unemployment

However, these transitions are not equally distributed. Differences may arise from individual characteristics, access to work experience, mental health, or broader structural conditions such as national labour market systems.

Research question:

> What factors determine how quickly young people enter the labour market after completing their education?

To answer this question, an ordinal regression model was estimated using data from the CRONOS-3 survey, focusing on the duration of active job search until the first employment.

2 Model

Outcome: Time to first job after active search (*w3sq69b*)
Input:

- Birth year (*yrbrn*)
- Country (*cntry*)
- Gender (*gender*)
- Strong Pillar:
  - Years of full-time education completed (*eduyrs*)
  - Respondent born in country → indicator for migration backround (*w2sq18a*)
  - Importance of work in life (*w4sq1*: 1=Essential, 2=Very important, 3=Fairly important, 4=Not very important, 5=Not important at all)
  - Done during studies (*w1sq6_1 - w1sq6_4*: 1=Yes, 0=No):
    * Studied abroad
    * Internship or work placement abroad
    * Attended language course abroad
    * Summer school, workshop or similar activity abroad
  - Apprentice or Internship (*w1sq11_1-w1sq11_4*: 1=Yes, 0=No):
    * Participated in unpaid apprenticeship
    * Participated in paid apprenticeship
    * Participated in unpaid internship
    * Participated in paid internship
- Health Pillar:
  - Subjective mental health in general (*w3hq57*: 1=Very good, 2=Good, 3=Fair, 4=Bad, 5=Very bad)
- Equal Pillar:
  - Expect to receive substantial inheritance in future → indicator for socioeconomic background (*w4eq10*)

Odds ratio per variable for an ordinal logistic regression model:

Table 1: Determinants of Time to First Job (Odds Ratios)

Variable	OR	P-Value	Significance
Countries		NA	
Austria	0.774	0.0037	**
Belgium	1.008	0.9150	
Czechia	1.057	0.5520	
Finland	0.750	0.0001	**
France	1.821	0.0000	**
United Kingdom	0.976	0.7610	
Hungary	1.007	0.9500	
Iceland	0.316	0.0000	**
Poland	1.426	0.0016	**
Portugal	1.904	0.0000	**
Slovenia	1.055	NA	
Demographics		NA	

Birth year	1.024	0.0000	**
Born in country	0.560	0.0004	**
Education and studies		NA	
Studied abroad	1.149	0.1860	
Work/internship abroad	0.794	0.0374	*
Language course abroad	1.424	0.0019	**
Summer school/workshop abroad	0.928	0.5120	
Importance of work	1.043	0.1230	
Years of education	1.021	0.0071	**
Work experience		NA	
Unpaid apprenticeship	0.771	0.0043	**
Paid apprenticeship	0.775	0.0024	**
Unpaid internship	1.051	0.5260	
Paid internship	0.864	0.0683	
Mental health		NA	
Mental health: good	1.389	0.0000	**
Mental health: fair	1.588	0.0000	**
Mental health: bad	1.642	0.0002	**
Mental health: very bad	3.076	0.0002	**
Socioeconomic background		NA	
Expects inheritance	1.022	0.8460	
Interactions		NA	
Unpaid apprenticeship × inheritance	0.845	0.4280	
Paid apprenticeship × inheritance	1.452	0.0869	
Unpaid internship × inheritance	0.802	0.2250	
Paid internship × inheritance	1.152	0.4620	

*Note: Odds ratios above 1 indicate a higher likelihood of longer job-search duration, while values below 1 indicate faster entry into employment. Significance levels: ** $p < 0.01$, * $p < 0.05$.*

3 Interpretation of Results

The outcome variable measures the time until obtaining the first job, where higher categories indicate a longer transition into employment.

- An odds ratio greater than 1 indicates a higher likelihood of experiencing longer job-search durations.
- An odds ratio less than 1 indicates a higher likelihood of faster entry into employment.
- Statistical significance is evaluated at the 5

3.1 Country

The results show **substantial cross-country variation** in the transition from education to employment.

Several countries exhibit significantly **faster transitions**:

- Austria (OR = 0.77, $p < 0.01$)
- Finland (OR = 0.75, $p < 0.01$)
- Iceland (OR = 0.32, $p < 0.01$)

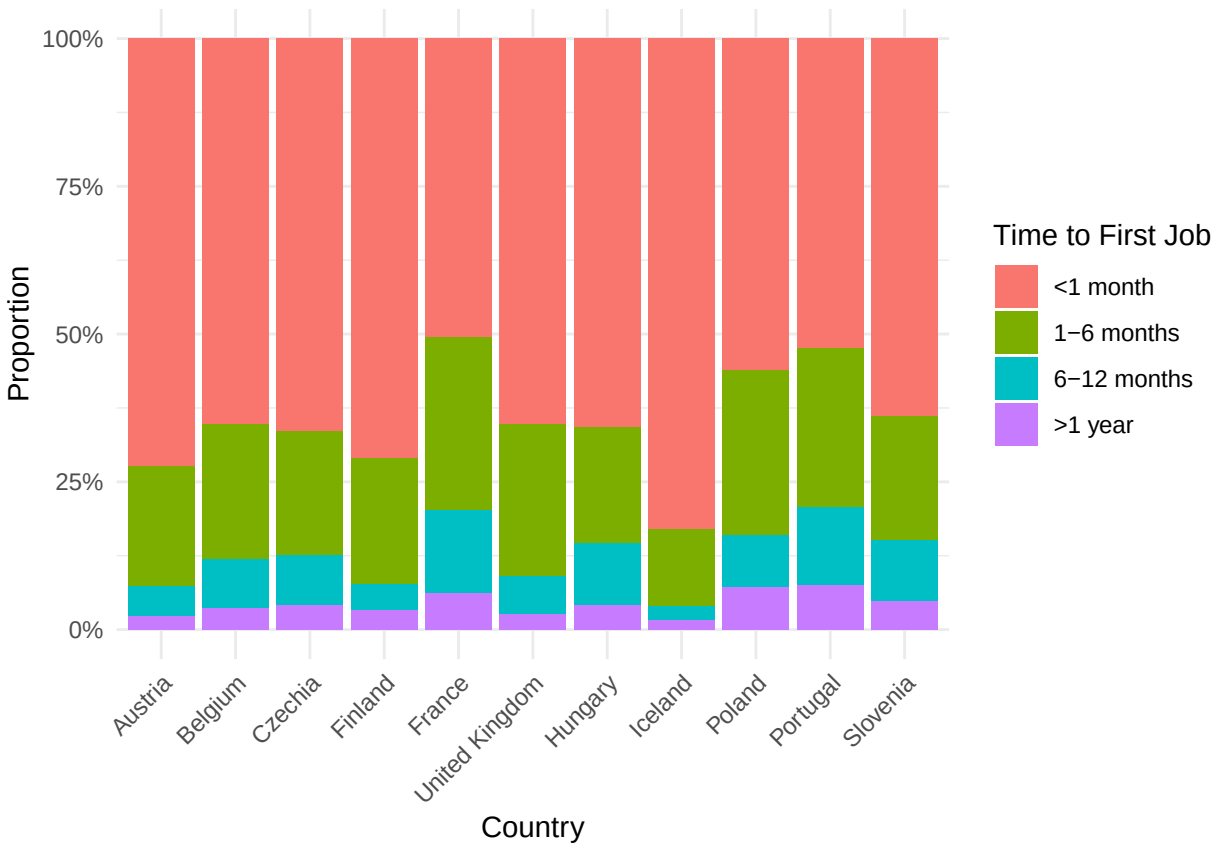
In particular, Iceland stands out with a very strong effect, indicating that individuals there are much less likely to experience prolonged job search periods.

In contrast, some countries show significantly **slower transitions**:

- France (OR = 1.82, $p < 0.01$)
- Portugal (OR = 1.90, $p < 0.01$)
- Poland (OR = 1.43, $p < 0.01$)

This suggests that structural differences between national labour markets play an important role in shaping early career trajectories.

Other countries (e.g., Belgium, Czech Republic, United Kingdom, Hungary) do not show statistically significant differences.
The differences between the different countries also become very apparent when looking at the following plot.

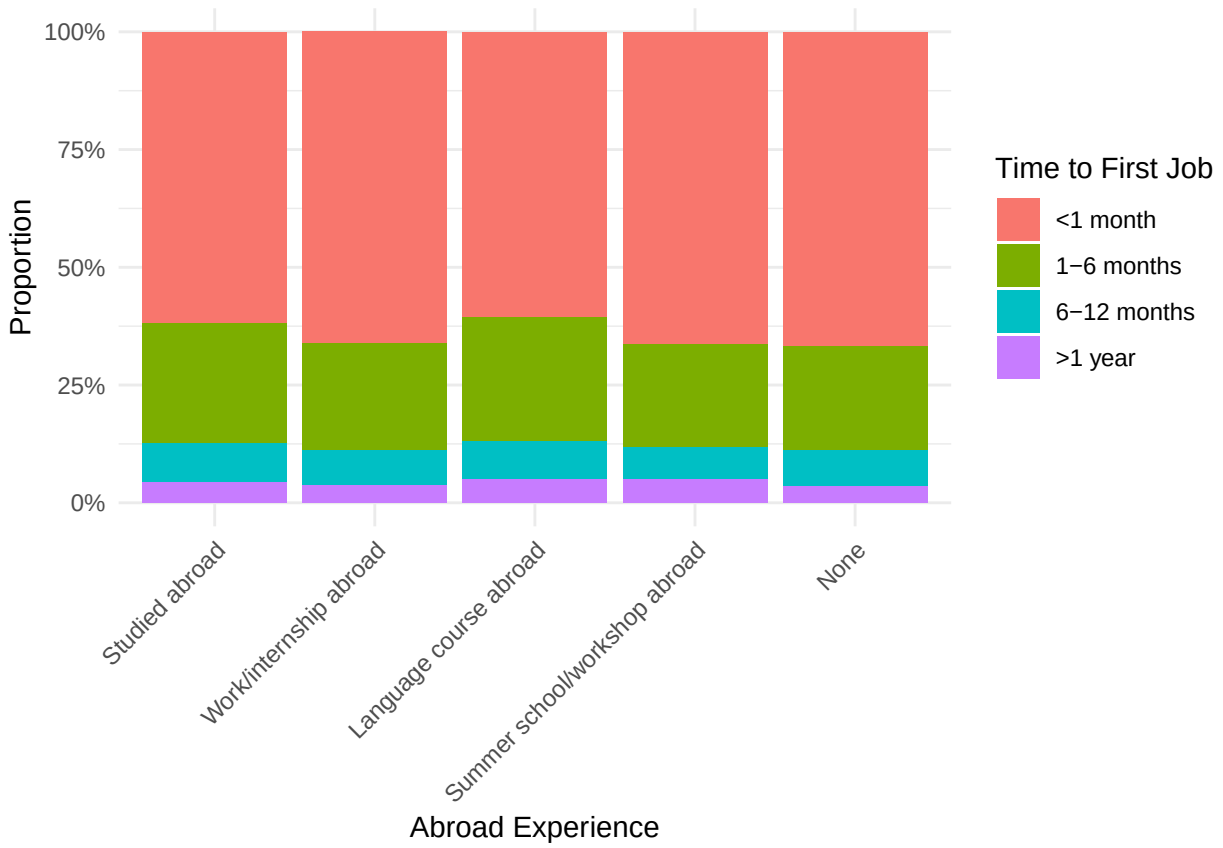


3.2 Education and study-related experiences

The results indicate that different types of experiences during studies have **varying effects**:

- Working abroad during studies is associated with faster job entry (OR = 0.79, $p < 0.05$).
- Attending a language course abroad is associated with slower transitions (OR = 1.42, $p < 0.01$).
- Studying abroad and summer schools show no significant effects.

These findings suggest that practical work experience **abroad may be more valuable** for labour market integration than purely academic or short-term activities.

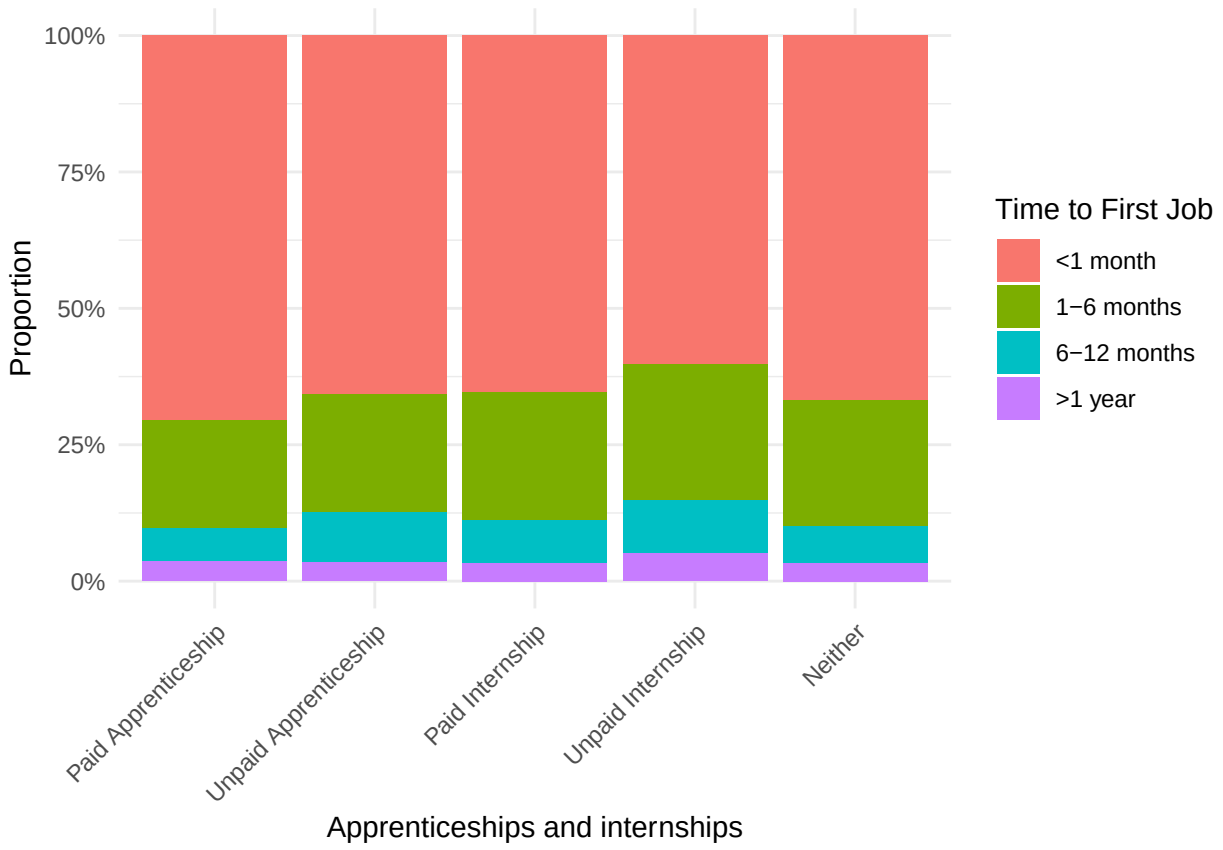


3.3 Apprenticeships and internships

Work experience plays an important but nuanced role:

- Paid apprenticeships (OR = 0.77, $p < 0.01$) and unpaid apprenticeships (OR = 0.77, $p < 0.01$) are both associated with faster transitions into employment.
- Paid internships show a weak, non-significant tendency toward faster entry (OR = 0.86).
- Unpaid internships show no significant effect.

This indicates that **apprenticeships are particularly effective** in facilitating labour market entry, while internships appear less consistently beneficial.



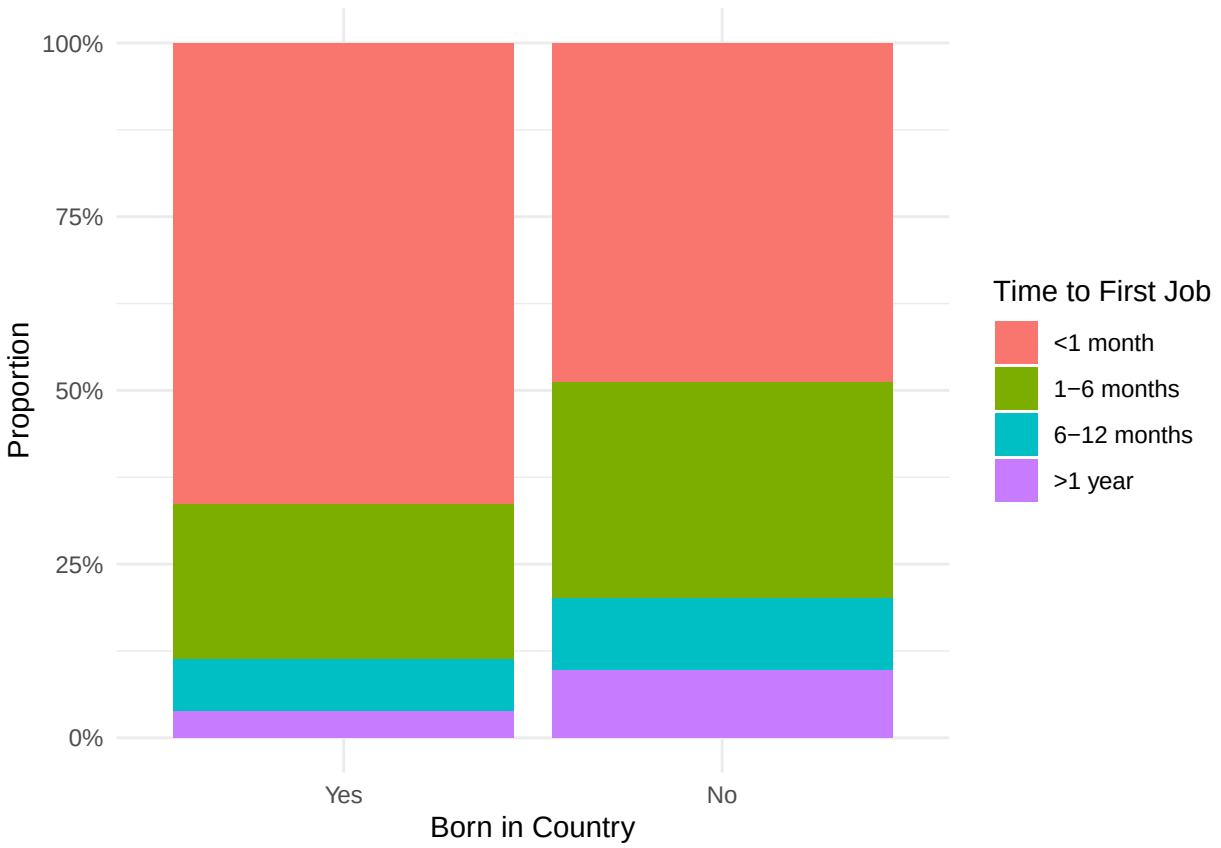
3.4 Socioeconomic background

The expectation of receiving an **inheritance does not show a significant** direct effect (OR = 1.02). The interaction terms between inheritance and work experience are also not statistically significant. This suggests that the effects of apprenticeships and internships on job entry do not differ substantially depending on expected inheritance.

However, another important factor is:

- Being born in the country is associated with substantially faster job entry (OR = 0.56, $p < 0.01$).

This suggests that structural advantages, such as familiarity with the local labour market or fewer barriers, play a key role. This implies that, people **not born in the country**, such as immigrants, have **more difficulty entering the labour market quickly**.



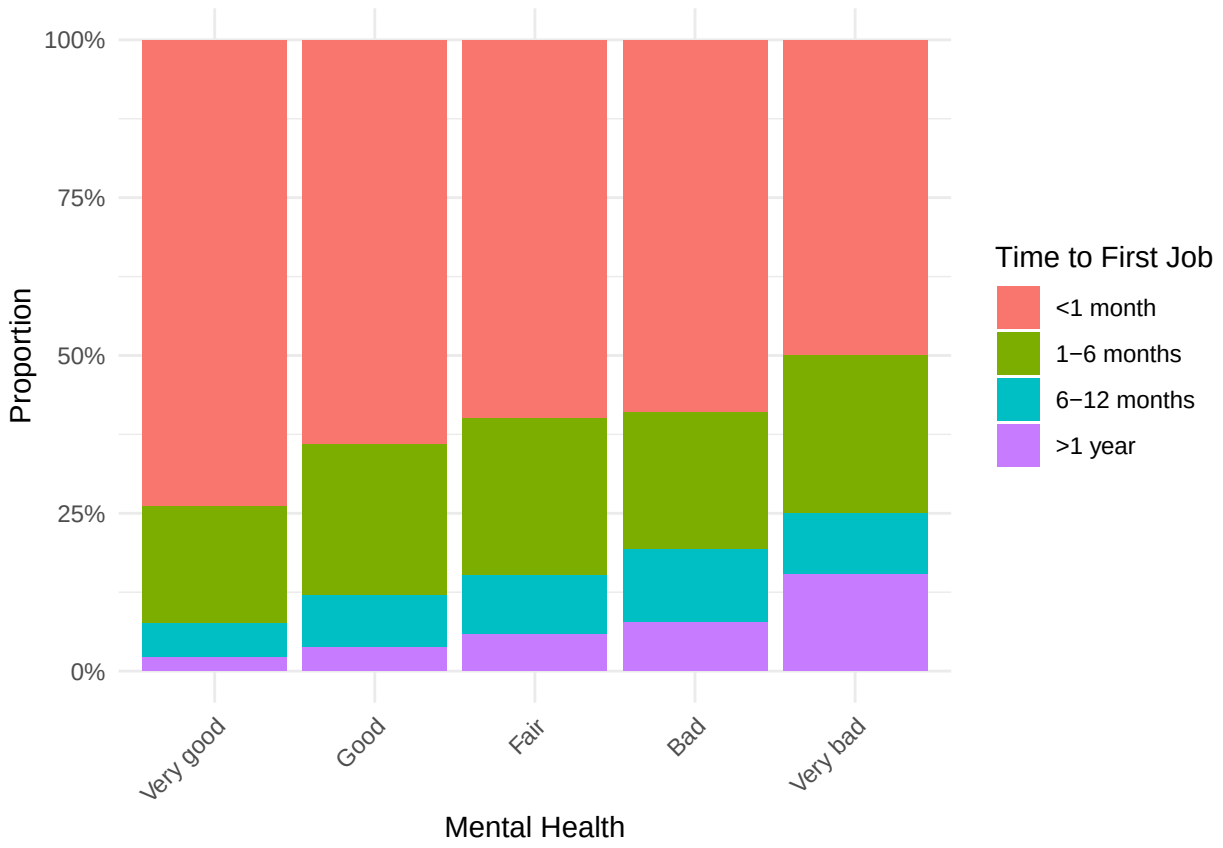
3.5 Mental health

Mental health shows one of the **strongest and most consistent patterns** in the model.

Compared to individuals with very good mental health:

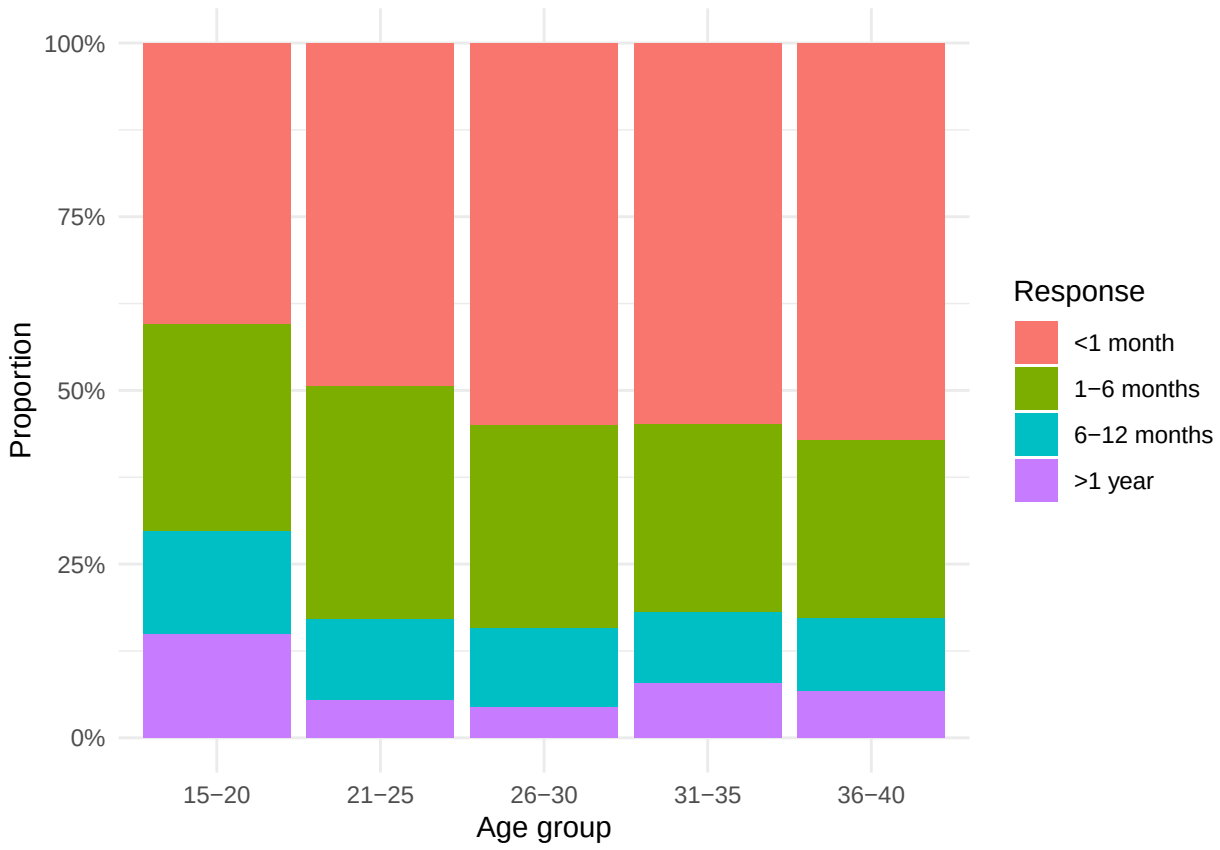
- Moderate difficulties (OR $\approx$ 1.39–1.64) are associated with longer job search durations
- Severe difficulties (OR = 3.08, $p < 0.01$) are associated with substantially longer transitions

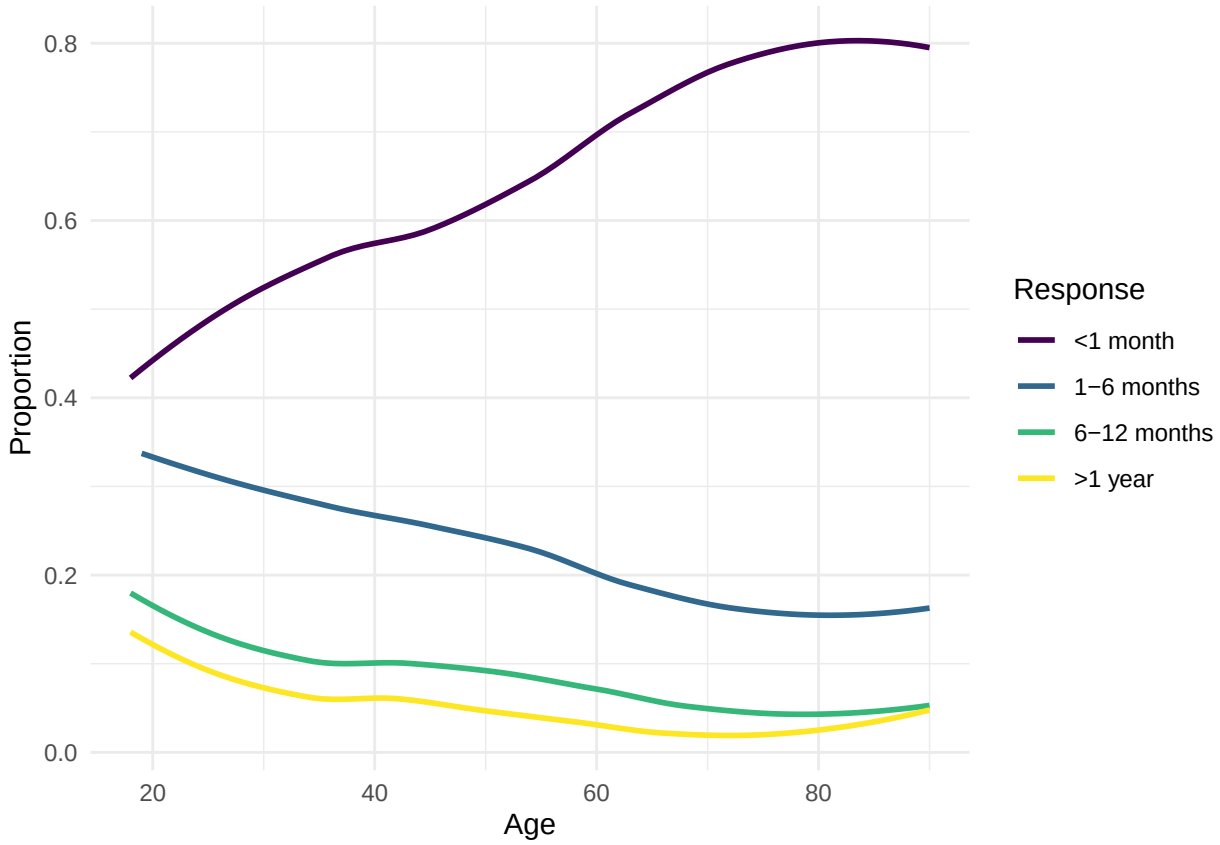
This indicates a clear gradient effect, where **worsening mental health** is strongly linked to **increasing difficulty in entering employment**.



3.6 Other individual characteristics

- Age (year of birth): Younger individuals tend to experience slightly longer transitions (OR = 1.02, $p < 0.01$), indicating that the job search has become more difficult throughout time.
- Years of education: More education is associated with a slightly longer transition (OR = 1.02, $p < 0.01$), possibly reflecting longer job search for better matches.
- Importance of work: No significant effect.


100%
75%
50%
25%
0%
Proportion
15−20
21−25
26−30
31−35
36−40
Age group
Response
<1 month
1−6 months
6−12 months
>1 year


0.8
0.6
0.4
0.2
0.0
Proportion
20
40
60
80
Age
Response
<1 month
1−6 months
6−12 months
>1 year

4 Policy Implications and Recommandations

This analysis shows that the transition from education to employment is shaped not only by individual choices, but by structural factors such as labour market institutions, access to work experience, and mental health.

4.1 1. Labour market structures matter

There are large differences between countries in how quickly young people find jobs.
→ Learn from high-performing systems (e.g. Iceland) and adapt best practices at the national level.

4.2 2. Mental health is a key barrier

Poor mental health is strongly associated with delayed entry into employment.
→ Integrate mental health support into education and employment policies, especially during the transition phase.

4.3 3. Apprenticeships are highly effective

Structured work experience, especially apprenticeships, significantly improves early employment outcomes, while internships are less consistent.
→ Expand and strengthen apprenticeship systems and improve the quality and regulation of internships.

4.4 4. Inequalities affect opportunities

Being born in the country significantly improves employment chances, indicating structural barriers for some groups.
→ Provide targeted support for disadvantaged youth, including migrants and those with fewer resources.

Note that the `echo = FALSE` parameter was added to the code chunk to prevent printing of the R code that generated the plot.